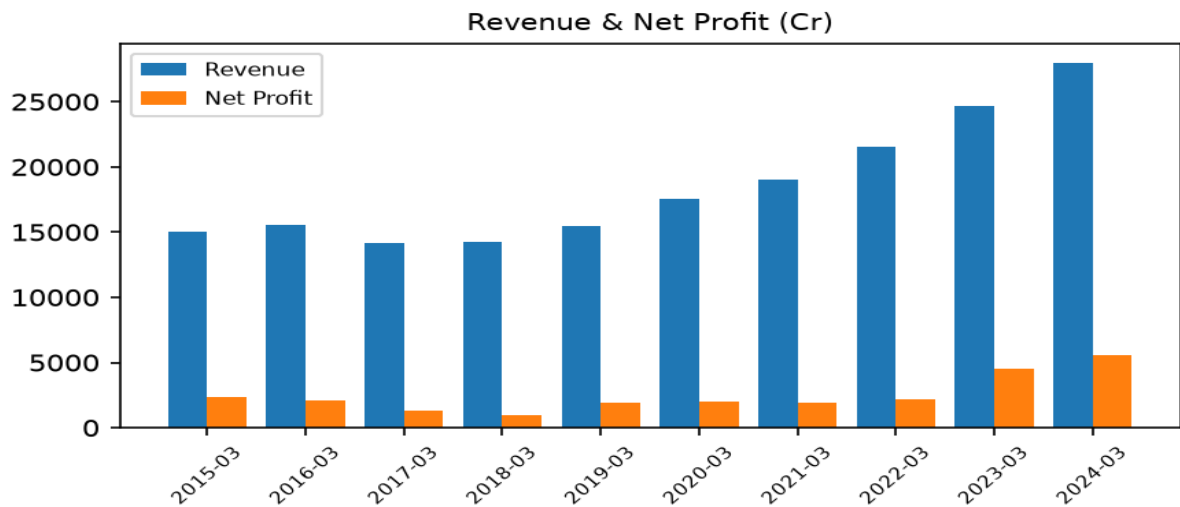


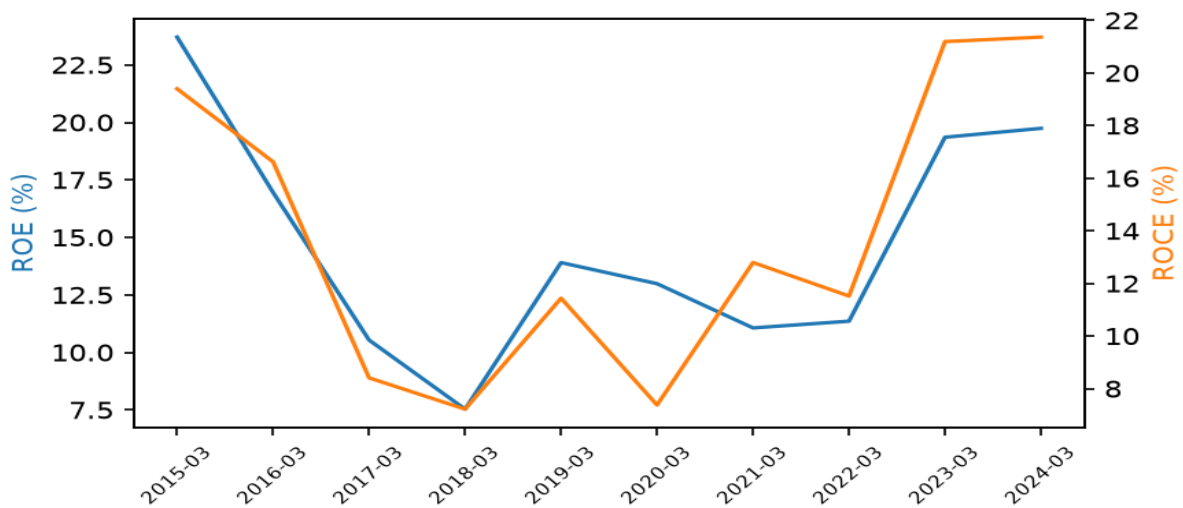
Dr Reddys Laboratories Ltd (DRREDDY)

ROE 19.7%	ROCE 21.4%	Net Profit Margin 19.9%
D/E 0.1	Revenue CAGR 5yr 12.6%	Free Cash Flow (Cr) 509.0

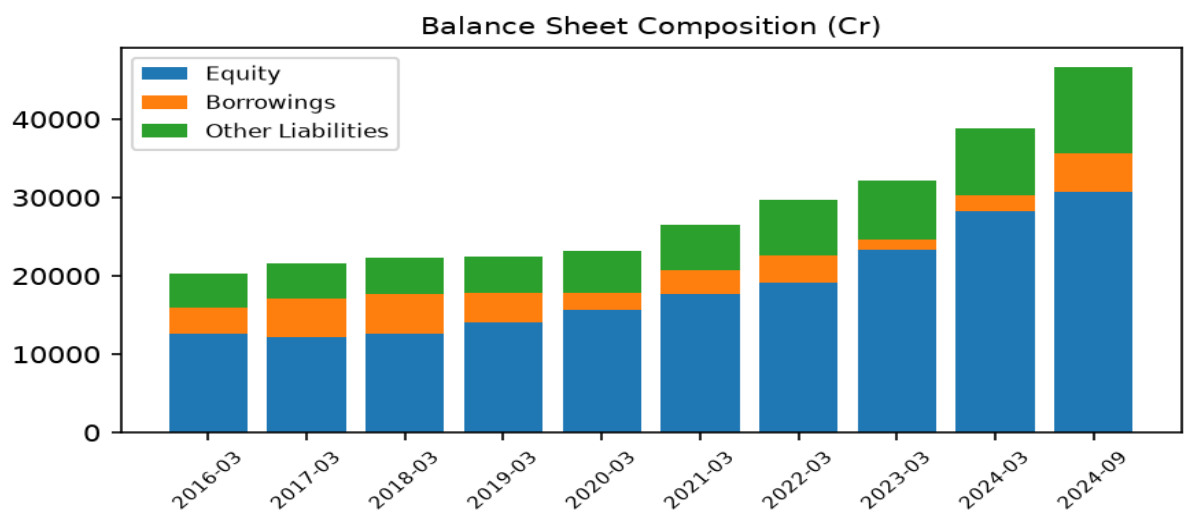
Revenue & Net Profit (10yr)



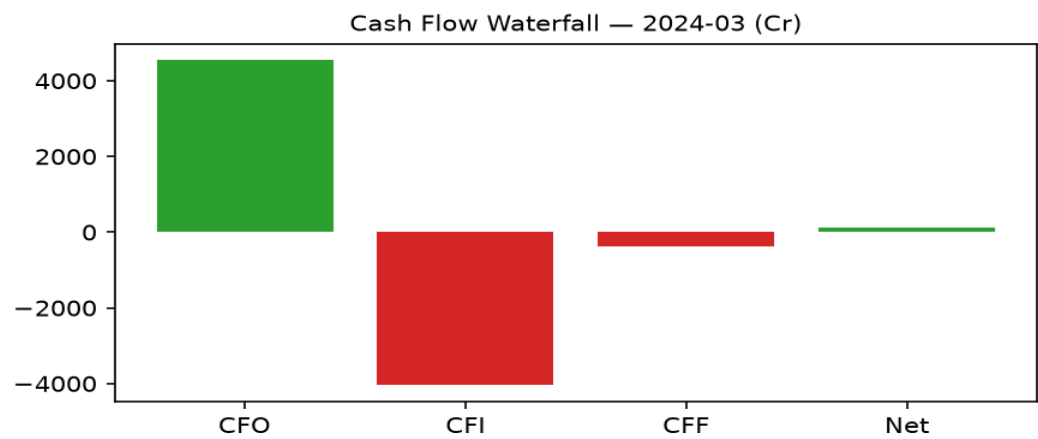
ROE & ROCE (10yr)



Balance Sheet Composition



Cash Flow (Latest Year)



Pros

- ✓ Strong free cash flow generation over 5 years signals healthy business fundamentals
- ✓ Operating profit margin above 25% indicates strong pricing power and cost discipline
- ✓ Net profit compounding at above 20% over 5 years creates significant shareholder value
- ✓ Very high interest coverage ratio reflects negligible financial stress from debt servicing
- ✓ Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding
- ✓ Return on equity improving for 3 consecutive years shows strengthening business quality
- ✓ Revenue growing slower than profits shows improving operating leverage and scale benefits

Cons

✗ No cons identified above confidence threshold.

Capital Allocation: Reinvestor